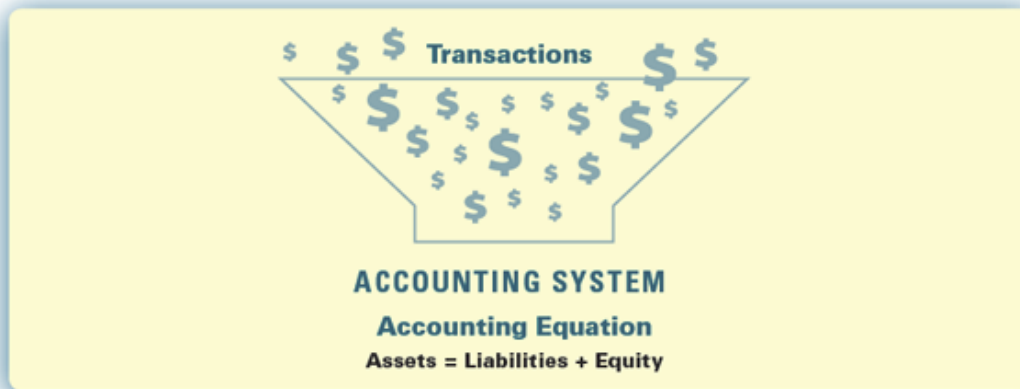
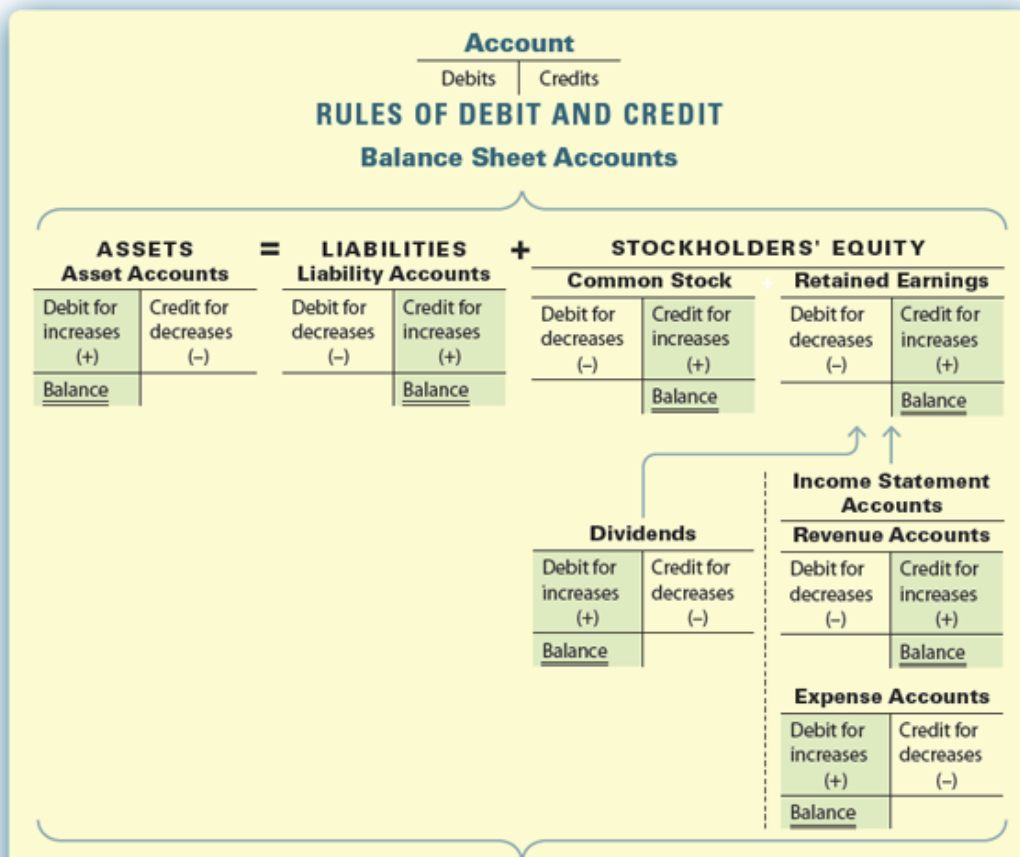


Chapter Introduction

Chapter 1



Chapter 2

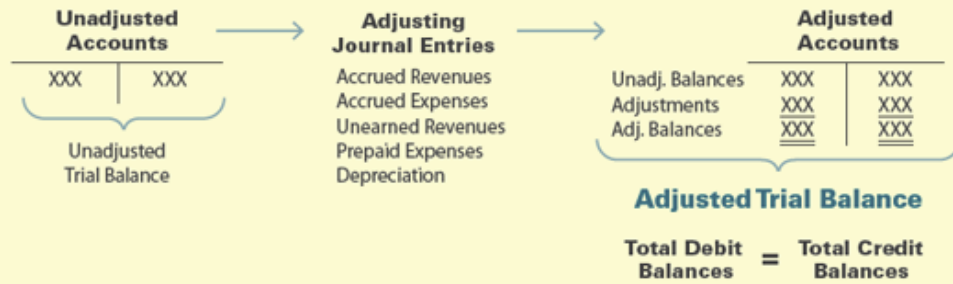


UNADJUSTED TRIAL BALANCE

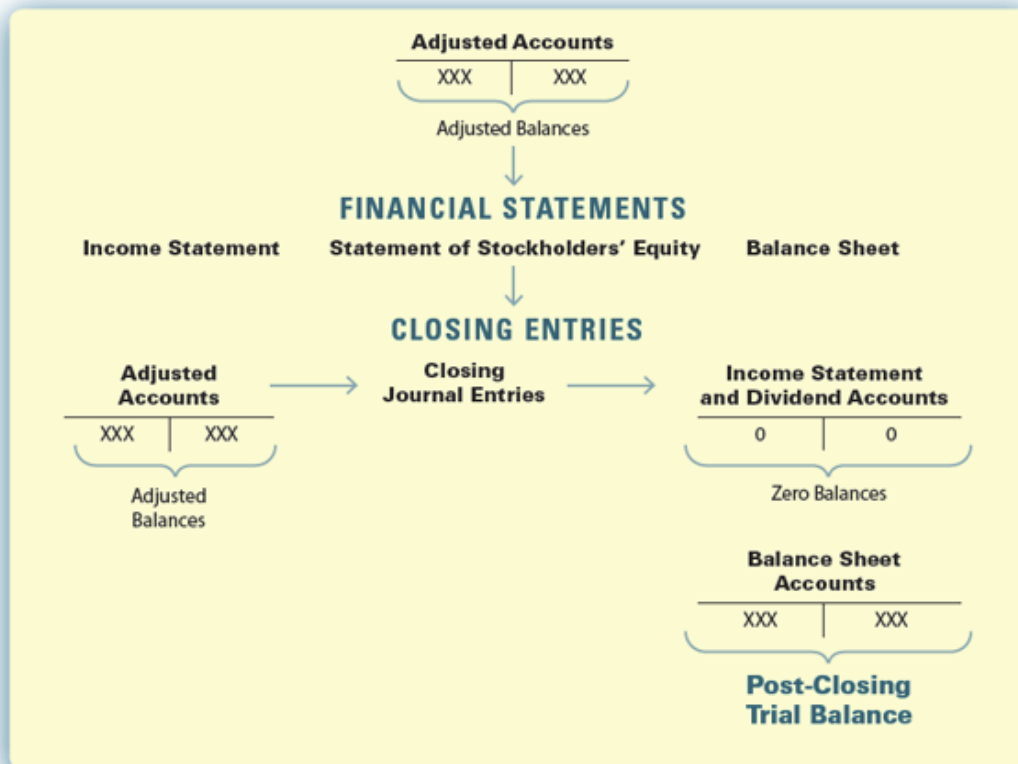
Total Debit Balances = Total Credit Balances

Chapter 3

ADJUSTING ENTRIES



Chapter 4





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Apple Inc.™

Every day it seems like we get an incredible amount of incoming e-mail messages—from friends, relatives, subscribed e-mail lists, and even spammers! But how do you organize all of these messages? You might create folders to sort messages by sender, topic, or project. Perhaps you use keyword search utilities. You might even use filters or rules to automatically delete spam or send messages from your best friend to a special folder. In any case, you are organizing information so that it is simple to retrieve and allows you to understand, respond, or refer to the messages.

In the same way that you organize your e-mail, companies develop an organized method for processing, recording, and summarizing financial transactions. For example, **Apple Inc. (AAPL)** has a huge volume of financial transactions, resulting from sales of its innovative computers, digital media (iTunes, Apple TV), Apple Watches, iPhones, and iPads. When Apple sells an iPad, a customer has the option of paying with a credit card, a debit or check card, an Apple gift card, a financing arrangement, or cash. In order to analyze only the information related to Apple's cash transactions, the company must record or summarize all these similar sales using a single category or "cash" account (record). Similarly, Apple will record Apple gift card sales and sales from financing arrangements in different accounts (records).

While [Chapter 1](#) used the accounting equation (**Assets = Liabilities + Equity**) to analyze and record financial transactions, this chapter presents more practical and efficient recording methods. In addition, this chapter discusses possible accounting errors that may occur, along with methods to detect and correct them.

What's Covered

Analyzing Transactions

Elements of Accounting Systems

- Accounts ([Obj. 1](#))
- Journal ([Obj. 2](#))
- Ledger ([Obj. 2](#))

Analyzing and Recording Transactions

- Double-Entry Accounting System ([Obj. 2](#))
- Journalizing ([Obj. 2](#), [Obj. 3](#))

Preparing a Trial Balance

- Steps in Preparation ([Obj. 4](#))
- Interpretation ([Obj. 4](#))
- Types of Errors ([Obj. 4](#))

- Posting ([Obj. 3](#))

Learning Objectives

- Obj. 1 Describe the characteristics of an account and a chart of accounts.
- Obj. 2 Describe and illustrate journalizing transactions using the double-entry accounting system.
- Obj. 3 Describe and illustrate the journalizing and posting of transactions to accounts.
- Obj. 4 Prepare an unadjusted trial balance and explain how it can be used to discover errors.

Analysis for Decision Making

- Obj. 5 Describe and illustrate the use of horizontal analysis in evaluating a company's performance and financial condition.